
DOLLAR GENERAL

NYSE: DG

Road to Wall Street – Equity Research Report

The logo for Dollar General, featuring the words "DOLLAR" and "GENERAL" in a bold, black, sans-serif font. The word "GENERAL" has a registered trademark symbol (®) to its upper right. The text is centered on a bright yellow rectangular background with rounded corners and a subtle grey drop shadow.

**DOLLAR
GENERAL®**

PITCHING: **BUY**

DECEMBER 5, 2025

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Introduction/Background

Company History

Dollar General was founded in 1939 by James Luther (J.L.) Turner and his son, Cal Turner. During the Great Depression, J.L. and Cal began buying and liquidating bankrupt stores, building expertise in the low-cost retail business. Then, in 1939, J.L. and Cal each invested \$5,000 to start J.L. Turner and Son Wholesale. The business gradually shifted from wholesaling to retailing, experiencing rapid growth. On June 1, 1955, the first Dollar General store opened in Springfield, Kentucky, featuring a simple model where no product cost more than \$1. The model was a huge success, and other Turner stores were quickly converted; by 1957, the 29 Dollar General stores generated \$5 million in annual sales, and the company only continued to grow from there (*DG History*, n.d.). In 2007, private equity company KKR & Co. Inc. acquired Dollar General in a \$7.3 billion deal that took the company private. However, in 2009, Dollar General went public once again through an IPO.

Dollar General sells a wide range of affordable everyday essentials, including groceries, household and cleaning products, health and personal care items, and basic home, party, and seasonal goods. Its headquarters is in Goodlettsville, Tennessee, and Dollar General operates over 20,000 stores across 48 states (*Dollar General*, n.d.).

Size of Industry & Company's Share of Industry

The Dollar Store industry consists of retailers that sell a broad range of general merchandise at discounted prices, including groceries, apparel, household goods, automotive supplies, home furnishings, toys, and craft items. In recent years, dollar and variety stores have widened their merchandise offerings by adding more name-brand and private-label products across multiple categories, helping them attract a broader range of shoppers and address growing consumer demand during periods of elevated inflation.

In 2024, the Dollar Store industry was worth \$124.9 billion, with Dollar General holding an estimated market share of 35.7% (*Top 20 Dollar Store Marketing Statistics 2025 | Amra And Elma LLC*, 2025). Its key competitors in the industry include Dollar Tree and Big Lots, with the companies holding market shares of 27.5% and 4%, respectively.

Life Cycle of the Business

Dollar General can best be classified as a mature company with continued expansion ambitions. Characteristics that would define it as being in the “mature” stage include maintaining consistent operations, a broad footprint, and a stable customer base. The company generates very large revenues, but has long since passed the phase of explosive growth; nonetheless, it has achieved same-store sales growth for 31 consecutive years. Despite its established presence, the number of stores has grown at an average rate of 6.6% over the past five years, suggesting that Dollar General desires continued growth.

Macro Trends – Affect on Industry & Company

Economic uncertainty has played a major role in shaping both the Dollar Store industry and Dollar General in recent years. As consumers face tighter budgets, stagnant wage growth, and rising costs of living, they have become increasingly selective with their spending and more focused on essential goods over discretionary purchases. This shift has benefited value-focused retailers, as more households—including middle-income shoppers who may not have relied on dollar stores historically—are turning to discount retail to stretch their dollars further. Within this landscape, Dollar General has remained well-positioned by offering everyday necessities at affordable prices, driving steady traffic even as broader retail sectors experience volatility.

A second trend that poses a challenge to the Dollar Store industry is that of supply-chain pressures. Elevated import costs, shipping delays, and tariffs have driven up the cost of goods, squeezing margins for retailers that rely on low-price models. Dollar stores must balance protecting customers from price increases while managing rising operational costs: a dynamic that places pressure on profitability.

As lower and middle-income consumers have stepped back from shopping at Walmart and Target due to rising costs of living, Dollar General has been able to attract consumers across income levels, which was evidenced by the company’s Q2 report, as Dollar General was able to draw in more middle and high-income consumers (Hart, 2025). Typical target consumers for Dollar General are consumers with incomes below \$40,000. In Q2, consumers belonging to this income group spent more than they did in previous quarters. In Q2, same-store sales rose 2.8%, outperforming Wall Street estimates of a 2.6% gain. In Q2, Dollar General’s revenue rose 5.1% to \$10.7 billion, and operating profit increased 8.3% with tighter inventory control (Hart, 2025). Overall, the data suggests that Dollar General gains in periods of economic uncertainty, when consumers gravitate toward lower-cost options for everyday needs.

While tariffs and inflation have posed potential macroeconomic threats, Dollar General has largely been able to withstand these pressures thanks to its low exposure to exports and its proactive sourcing strategy of diversifying its supply chain (Repko, 2025). Dollar General CEO Todd Vasos also stated that the company has worked to reduce its exposure to China and worked with vendors to move manufacturing to other countries or outright swapped products out for other merchandise (Repko, 2025). The company currently offers more than 2,000 products priced at \$1 or less, helping it maintain affordability to consumers despite rising costs. Vasos has stated that the company expects to offset many tariff-related expenses within the year.

Competitive Moat

Dollar General's primary competitive advantage is the company's rural community reach, as it currently has more than 20,000 small box locations, allowing the retailer to reach communities that lack national retail chains (Su, 2025). They have been able to amass success by reaching areas with minimal competition, areas that large retail chains such as Target and Walmart avoid. This approach minimizes direct competition and allows them to capture the market share of customers who prioritize proximity and convenience over the larger selections of products provided by larger retailers. The company's high-density store network means that approximately 75% of Americans live within a five-mile radius of a Dollar General, providing convenience to customers and countering threats from large retailers (*Fast Facts*, n.d.).

Furthermore, Dollar General has a strategic network of distribution centers and has optimized logistics to minimize transaction costs. Dollar General is also able to hold down distribution costs by leveraging better product delivery routes from distribution centers to points of sale in comparison to grocery or convenience stores. The company's highly optimized distribution and logistics system is intentionally designed for high-frequency, low-ticket consumables (products such as groceries and household items that are purchased often at a low price point), this makes up 80% of Dollar General's product mix. Through the expansion of its private truck fleet, Dollar General has been able to reduce their exposure to third-party price fluctuations.

Dollar General is also able to maintain low initial operating costs as stores are relatively small (around 7,400 sq ft) and are designed to have minimal staff, which has reduced real estate and operating costs. Dollar General typically leases rather than owns most of its stores, which helps keep costs down as some

stores are specifically built by developers who take on the cost of construction. The company also primarily uses a bare bones design with metal shelves and strip lighting, which allows the company to save from its minimalist design and rather offer competitive pricing on everyday essentials.

Company Business Model

While initially starting out as a wholesaler, Dollar General shifted to being a retailer in 1955 and is now a discount retailer carrying a limited selection of items (around 10,000), which includes a high number of consumables (groceries, cleaning supplies, and toiletries) and a significant number of private-label products. The firm has aimed to provide quality brands for low prices and carefully curated merchandise assortments. It focuses primarily on rural communities, as competition is typically weak from larger retailers. Dollar General operates on a low-cost, high-volume business model that aims to provide affordable products to low and middle-income consumers.

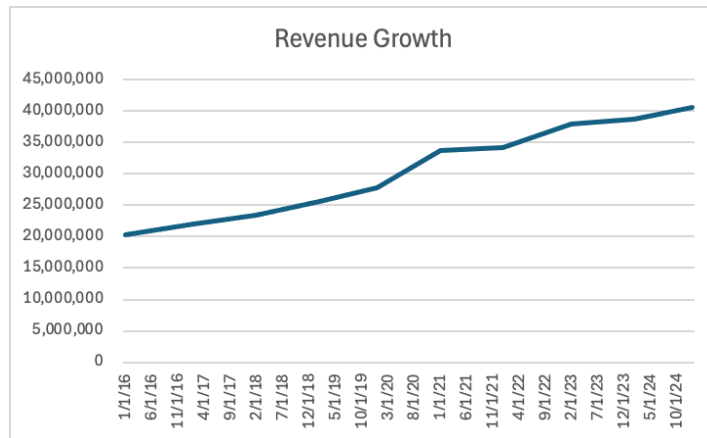
Historical Growth

From its inception, Dollar General began as a family-owned business in 1939 and transitioned to retail in 1955 where not a single item cost more than a \$1. In 1957, Dollar General's 29 stores had reached annual sales of \$5 million. Throughout the latter 20th century, Dollar General expanded primarily through the Southern and Midwestern United States. The company first went public on the New York Stock Exchange in 1968. In 1999, the company was recognized on the Fortune 500 for the first time.

Between 2001-2005 Dollar General's net sales consistently grew while pursuing an aggressive expansion strategy. In 2005 alone, Dollar General opened 734 new stores. Kohlberg Kravis Roberts & Co. (KKR) bought Dollar General in 2007 for \$6.9 billion. After improving its operations and performance, KKR helped take Dollar General public once again in 2009 and later sold off its stake. In 2007, Dollar General had reached 8,194 stores, and at the time of the 2008 recession, Dollar General expanded rapidly, focusing primarily on economically depressed areas. In 2021, Dollar General surpassed 17,000 stores nationwide and in 2023, the firm was the leading United States retailer by store count, surpassing all retailers.

Dollar General has shown consistent revenue growth, with revenue reaching over \$40 billion in 2025. Over the last 20 years, its revenue growth rate has been 5.4%. In 2021, Dollar General hit its highest revenue growth, 21.59%, and its lowest in 2024, 2.24%. Dollar General's revenue growth peaked in 2021, as during COVID-19, consumer spending patterns shifted.

The company's number of stores has increased significantly over the past 20 years as stores have grown from 8,194 in 2007 to 20,662 in 2024. Dollar General expects to add 600 more stores by the end of 2025, despite closing nearly 100 stores.



Competitive Analysis

Major Players in the Industry

Dollar Tree, Inc. (NASDAQ: \$DLTR)

Dollar Tree Inc. (NASDAQ: \$DLTR), operating both the Dollar Tree and Family Dollar banners, remains one of the largest discount retailers in North America, with a combined footprint of more than 16,000 locations across the US and Canada. Dollar Tree maintains its fixed price model at \$1.25, while Family Dollar offers a broader range of consumables and household goods at multiple price points, allowing the company to serve both value-oriented and lower-income urban markets. In recent years, Dollar Tree has invested heavily in supply chain modernization, store renovations, and strategic price increases to protect margins. For fiscal year 2025, the company reported approximately \$17.5 billion in revenue.



Five Below (NASDAQ: \$FIVE)

Five Below (NASDAQ: \$FIVE) operates a rapidly expanding network of over 1,200 stores in the United States, offering a value-driven



merchandise assortment targeted primarily towards teens and young adults. The company's pricing architecture centers on items ranging from \$1 to \$5, supplemented by its "Five Beyond" initiative, which includes higher-price products that support category expansion and margin growth. According to their 10-K, the company reported approximately \$3.877B in revenue for fiscal 2025. Its differentiated assortment and focus on fun, discretionary value categories has enabled it to carve out a distinct niche within the broader value retail market.

Walmart (NYSE: \$WMT)

Walmart Inc. (NYSE: \$WMT) is the world's largest retailer, operating over 10,500 stores in 24 countries through various formats, including Walmart Supercenters, Walmart Neighborhood Markets, and Sam's Club. Walmart's operating model is rooted in its Everyday Low Price (EDLP) strategy, which leverages unparalleled purchasing scale and supply chain efficiency. The company has continued to strengthen its omnichannel presence through investments in Walmart+, curbside pickup, automated fulfillment centers, and same-day delivery capabilities. In fiscal year 2025, Walmart generated \$680.985B in revenue, according to their 10-K.



Target (NYSE: \$TGT)

Target Corporation (NYSE: \$TGT) operates over 1,950 stores in the United States and has built a strong identity around design-focused retailing and curated product assortments. The company's emphasis on private-label innovation, exclusive brand partnerships, and elevated in-store merchandising has helped differentiate it from other mass retailers. According to their 10-K, Target generated \$106.566B in revenue for fiscal 2025, supported by consistent traffic from middle-income households seeking value without sacrificing quality or experience.



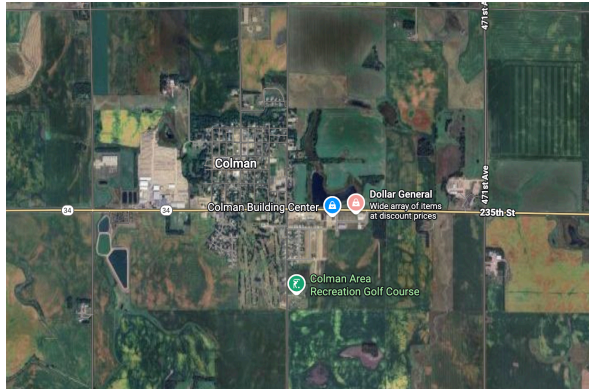
Aldi

Aldi has become one of the fastest-growing discount grocers in the United States, now operating more than 2,300 stores across 38 states. The company's model centers on limited SKUs, private-label dominance, and highly streamlined store layouts, which enables Aldi to consistently deliver some of the lowest prices in the grocery industry. The grocer has been accelerating its U.S. expansion through a combination of new store openings and strategic acquisitions, including its announced purchase of Winn-Dixie



and Harvey's Supermarket locations. While its U.S. financials are undisclosed, industry estimates place Aldi's domestic revenue above \$20 billion annually.

SWOT Analysis



Strengths:

Extensive Rural Store Network Supported by a Low-Cost Small-Box Model: Dollar General maintains the largest store footprint in the value retail sector, with more than 20,000 locations across the United States. The company's strategy of focusing on rural and underserved markets gives it a meaningful competitive edge, as Dollar General is often the

closest and most convenient retailer for essential goods in these communities. This is reinforced by its low-cost, small-box operating model, which allows Dollar General to build and run stores at a fraction of the cost of big-box competitors. Smaller store formats require less labor, leasing, and faster restocking, making it possible for Dollar General to enter markets that are not profitable for larger retailers.

Private Label Strategy and Strong Value Positioning: Dollar General's private label strategy has become a core competitive advantage as the company moves into 2025. Brands such as Clover Valley®, trueliving®, DG Health®, and Studio Selection™ have grown into high-trust alternatives to national brands, offering customers quality products at prices that stay below broader market inflation. This helps Dollar General manage cost pressures more effectively because private-label items give the company greater control over sourcing, formulation, and pricing. As national brands continue to raise prices, Dollar General's ability to push affordable private-label substitutes supports customer retention, strengthens brand loyalty, and protects gross margins.

High-Frequency Consumables: Dollar General's product assortment is heavily concentrated in consumables such as food, household supplies, cleaning products, paper goods, and personal care. This mix is a major strength because these items are purchased frequently and remain essential regardless of economic conditions. As inflation and rising living costs pressure low-income households in 2025, Dollar General benefits from predictable demand for necessities rather than relying on discretionary categories that fluctuate with consumer sentiment. The focus on consumables also increases visit frequency, since

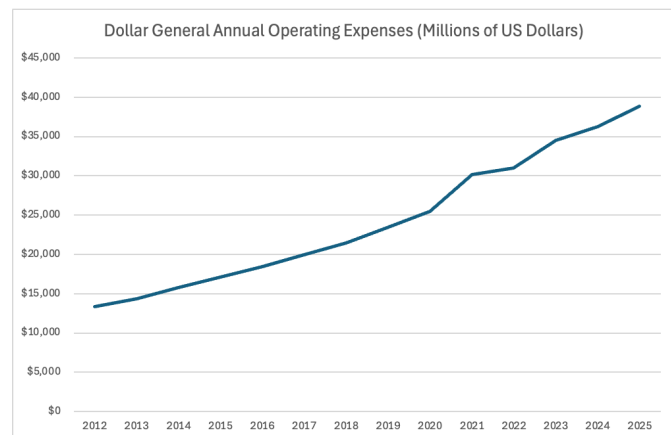
customers often return weekly to restock basics instead of shopping occasionally for one-time purchases. This consistent traffic stabilizes revenue, improves inventory turnover, and helps the firm maintain strong sales momentum even when broader retail spending slows.

Weaknesses:

Margin Pressure From Higher Operating

Costs: Dollar General's 10-K filings emphasize that rising operating costs and elevated shrink (unwarranted loss of inventory) continue to create meaningful pressure on profitability. The company specifically notes higher inventory losses, increased wages, and greater supply chain expenses as factors that

have negatively affected operating income. Because Dollar General is committed to maintaining low prices, it has limited ability to pass these cost increases on to consumers without risking traffic declines. The 10-K also highlights that shrink has been increasing across multiple categories, which adds direct pressure to gross margins and requires higher levels of store labor and security investment.



Limited Digital Capabilities Compared to Competitors: Dollar General lags behind major retailers in building a robust digital and omnichannel ecosystem. While competitors like Walmart, Target, and even Dollar Tree have expanded delivery, pickup, and integrated mobile-app shopping, DG's digital platform remains relatively underdeveloped. Many stores still lack full pickup or delivery coverage, and the company has been slower to adopt technology that enhances convenience for younger and suburban shoppers. Limited real-time data systems make it harder for DG to forecast demand accurately, optimize replenishment, or streamline supply chain planning in their internal operations.

Opportunities:

Expansion Into New Markets and Store Formats: Dollar General has a meaningful growth opportunity through its expansion into Mexico and its continued development of alternative store formats such as pOpsshelf, a retail store concept created by DG that offers a boutique-like shopping experience. Entering Mexico gives the company access to an underserved market with rising demand for affordable staples, while still leveraging its low-cost, small-box model that has worked well in rural U.S. markets. Early performance indicators show strong potential for Dollar General to replicate its domestic success

internationally. At the same time, concepts like pOpshelf allow the company to reach a more suburban, higher-income customer who shops for home goods, decor, and seasonal items at slightly higher price points.

Growing DG Media Network and Data Monetization: Dollar General has a major opportunity to scale its DG Media Network, the company's retail media advertising platform. As more brands shift spending toward retail media to target shoppers at the point of purchase, Dollar General is in a strong position due to its massive store footprint and visibility into weekly purchasing patterns across value-focused households. With millions of transactions each day, DG holds rich first-party data that consumer



packaged goods companies want access to, especially for lower-income demographics that are harder to reach through traditional advertising. By expanding DG Media Network, the company can generate high-margin revenue through sponsored product placements, targeted promotions, and digital ads within its app and website. Retail media networks have become meaningful profit drivers for companies like Walmart, Target, and Kroger, and Dollar General has the opportunity to follow that same trajectory.

Threats:

Macroeconomic Pressure on Core Customers: Dollar General's core customers are highly sensitive to shifts in the broader economic environment. As the company notes in its 2024 Annual Report, these customers are "among the first to be affected by negative or uncertain economic conditions and among the last to feel the effects of improving economic conditions," particularly when trends are volatile or of uncertain duration. In the current macro environment, many continue to face elevated expenses across major budget categories (including rent, healthcare, energy, fuel, and inflation in frequently purchased household goods such as food), which has increasingly pressured overall spending, especially in non-consumables. This dynamic contributed to a more promotional environment in the second half of 2024, a trend Dollar General expects will persist into 2025.

A related risk is the ongoing reduction in SNAP and other government assistance benefits, which disproportionately affects Dollar General's lower-income customer base. As benefits decline, shoppers typically allocate a larger share of their budgets to consumables, limiting their ability to purchase higher-margin discretionary items. This mix shift can weigh on profitability even if traffic remains stable. At the same time, reduced government support can prompt some consumers to trade down from big-box retailers to Dollar General for essential goods, which helps sustain volumes but does not fully offset the

margin pressure from a more consumable-heavy basket. Overall, government benefit normalization represents an important factor to monitor for Dollar General's sales mix and promotional cadence heading into 2025.

Porter's 5 Forces

Competitive Rivalry: High

The rivalry in the discount retail sector is quite intense. Dollar General is currently "sandwiched" between two massive competitors operating at different ends of the spectrum. The company faces pressure from Walmart, which offers superior economies of scale and a broader selection. Walmart's "Rollback" prices and private brand Great Value™ are often cheaper than Dollar General's shelf prices. DG cannot compete on pure price efficiency against Walmart's scale. The other end of this is Dollar Tree/Family Dollar, which competes directly on store format and price points. Margins in this industry are incredibly thin, as competitors constantly match prices on key value items like milk, eggs, and detergents to drive consumer traffic. At the same time, for high-margin non-consumables like home decor, toys, and seasonal items, customers are shifting to Temu and cheap e-commerce alternatives that undercut Dollar General on price.

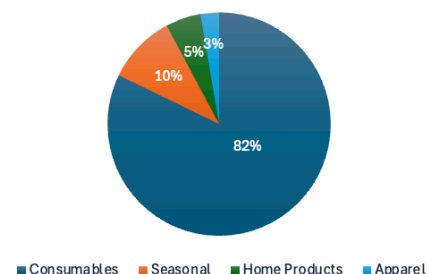
Bargaining Power of Buyers: High

While individual shoppers can't negotiate prices at the register, their collective behavior gives them immense power. They hold zero switching costs, so a customer can walk out of a Dollar General and into a Walmart or Family Dollar with no penalty. While middle-income shoppers "trade down" to Dollar General during inflation and boost traffic, the company's core demographic typically earns under \$40,000 annually. During inflationary periods, these consumers tend to aggressively trade out and cut discretionary spending entirely. Therefore, if Dollar General raises prices even slightly, it loses volume immediately, and this is something that it has to keep in mind with its pricing. Moreover, most products sold, whether it is cleaning supplies or packaged food, are commodities. A bottle of bleach is the same whether bought at Dollar General or Walmart: the only differentiator is price and convenience.

Threat of Substitutes: Moderate to High

Substitutes act as alternative ways of solving the customer's problem by getting cheap goods quickly. Ultra-low-cost online marketplaces like Temu and Shein have become viable substitutes for the "treasure hunt" non-consumable items (home decor, cheap electronics) that used to drive

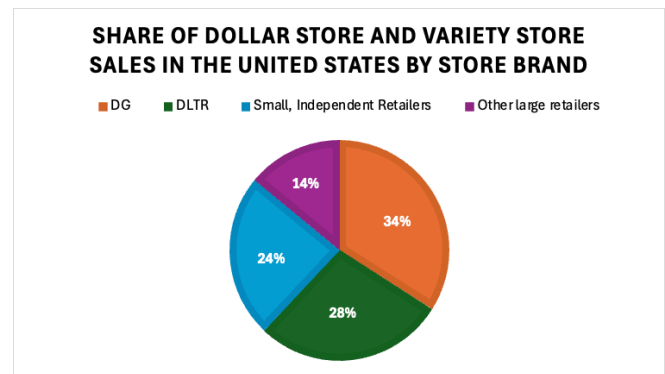
**Dollar General: Sales Share in the U.S.
2024, by Category**



high-margin sales for DG. Especially given the growing digital age and the rise in e-commerce, price-sensitive consumers might resort to buying cheap products through these online companies. For immediate consumption, especially for snacks and drinks, gas stations and 7-Elevens are direct substitutes, often offering better convenience but at higher prices.

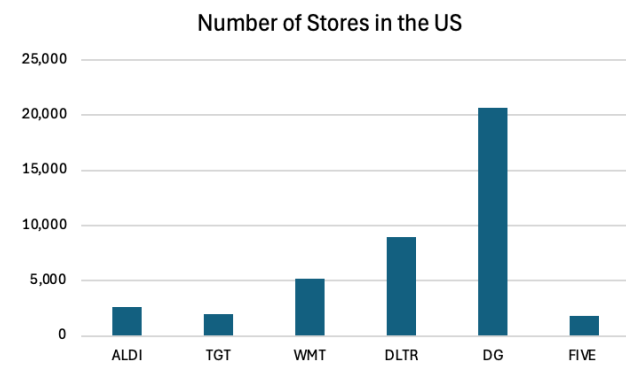
Bargaining Power of Suppliers: Low to Moderate

Dollar General generally holds the upper hand due to its sheer size, but this varies by product type. For non-brand items like Dollar General's "Clover Valley" food brand, suppliers have very little power. There are thousands of manufacturers willing to make paper goods or household supplies for Dollar General, allowing the company to dictate price and terms. However, suppliers like Coca-Cola, Procter & Gamble, or Frito-Lay have more leverage because customers expect to see these brands. If Dollar General stops carrying Tide, customers might stop coming. However, Dollar General is still a massive account that these giants cannot afford to lose.



Threat of New Entrants: Low

While it is cheap to open one small store, it is incredibly difficult to challenge Dollar General's network effect. Dollar General's dominance comes from its ability to buy centrally for 20,662 stores located in 48



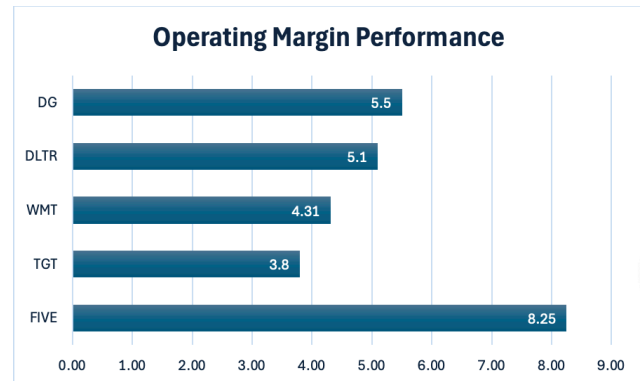
states and Mexico. A new entrant cannot match Dollar General's purchasing power or logistics efficiency, presenting its advantage in economies of scale. Additionally, managing the logistics to restock thousands of rural, low-volume stores efficiently is a massive barrier. This supply chain complexity is something that Dollar General has already secured through its strategic real estate moat. The firm enters markets and small towns

primarily in rural America: locations that are convenient for a Dollar General, but too small and unattractive for larger retailers like Walmart.

Margins Relative to Competition/Pricing Power

When comparing Dollar General to its competitors, Walmart, Costco, and Five Below for instance, all operate on vastly different margin structures due to their unique business models. Dollar General's operating margin is at 5.5%, with Walmart at 4.31%, Target at 3.8%, and Dollar Tree at 5.1%.

What this tells us is that Dollar General, despite serving a lower-income customer base and operating smaller stores in predominantly rural locations, consistently converts a larger share of its revenue into operating profit than several larger peers. It indicates that Dollar General's profitability is not driven by offering the lowest



price per unit, because it often does not. Rather, its advantage stems from convenience, proximity, and the ability to capture “need-it-now” purchases from customers who may be unable to buy larger, better-value bulk quantities at Walmart or Target. In other words, although Dollar General's unit prices can be higher, its overall cost structure and store economics allow it to maintain operating margins that remain competitive with or even superior to key peers.

Dollar General uses a pricing strategy that leverages a “low ticker/high margin” model. While customers perceive it as a low-cost destination, the company actually generates significantly higher gross margins than Walmart or other big-box retailers by charging a premium on a “per-unit” basis. While the firm wins on the “absolute price” of a product, it loses on the “relative price.” Since Dollar General's core customer base often lives paycheck-to-paycheck, they cannot afford bulk packs that are priced higher at big-box stores, even though it offers the best value. It then resorts to buying the cheaper, discounted pack at Dollar General, which turns out to be more expensive per unit. This premium on their prices also stems from the convenience of their stores, as mentioned in their 10K for the fiscal year ended January 31, 2025, which allows them to “succeed in small markets with limited shopping alternatives.” Dollar General effectively prices the fuel/time saving into its goods, especially for its rural customers. Ultimately, Dollar General is a discount retailer in absolute terms, but becomes more expensive per unit, implying their convenience premium.

Furthermore, unlike Walmart or Target, Dollar General has a limited ability to pass inflation on to consumers. Its core customers, as mentioned before, those earning less than \$40k a year, tend to stop

buying discretionary items immediately when prices rise. Therefore, while middle-income shoppers "trade down" to DG during inflation, boosting traffic, DG's core low-income shoppers "trade out" by either cutting essentials or the number of items. This causes DG to have somewhat of a negative pricing power (inflation sensitivity) as it has to “continually evaluate the needs and demands of our customers and modify our merchandise selections and pricing accordingly”, according to its 10k.

Conclusion & Recommendations

Major Shareholders/Management Ownership (% selling, buying)

Institutional investors own roughly 91.77% of Dollar General’s outstanding shares (Turner, J., & Turner, C. (n.d.)), indicating that its shareholder base is overwhelmingly institutional rather than retail or insider-driven. The top 25 institutional shareholders alone control about 60.3% of the company, and the major shareholders of Dollar General as of late 2025 are the institutional investors. The Vanguard Group, Inc., and BlackRock, Inc. Vanguard holds the largest stake at approximately 12.22%, followed by BlackRock at about 10.84%. Other major shareholders include Pzena Investment Management, Inc. (5.31%) and State Street Global Advisors, Inc. (4.98%). Institutional investors hold the vast majority of DG’s outstanding shares (91%). Because institutional ownership makes up the overwhelming majority, asset managers and index funds likely drive much of the share-price behavior and voting outcomes (*Dollar General Corporation (DG) Stock Major Holders.* (n.d.)).

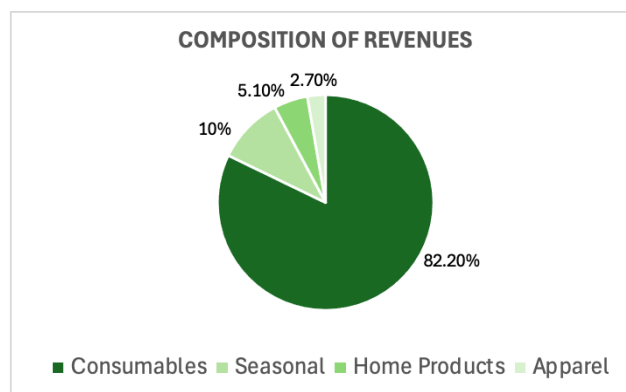
On the other hand, insider ownership is minimal, with insiders only holding about 0.56% of shares outstanding. In the most recent quarter, insiders have sold more shares than they have bought. For example, in June 2025, Emily C. Taylor, Dollar General’s EVP and Chief Merchandising Officer, sold nearly 2,000 shares, and Chief People Officer Kathleen A. Reardon sold more than 6,400 shares (*Dollar General Corporation Insider Trading & Ownership Structure*). This signals a cautious or neutral outlook from management, particularly among senior executives overseeing merchandising, human capital, and strategic operations. This is indicative of a recent lack of confidence from insiders with key insights into Dollar General’s value drivers.

Insider/Name	Role/Title	Reporting Ownership
Vanguard Group	Institutional Investor	26.9 million shares (12.2%)
Blackrock, Inc.	Institutional Investor	24 million shares
State Street Corporation	Institutional Investor	11 million shares

Insider/Name	Role/Title	Reporting Ownership
Vanguard Group	Institutional Investor	26.9 million shares (12.2%)
Blackrock, Inc.	Institutional Investor	24 million shares
First Eagle Investment Management	Institutional Investor	6 million shares
Geode Capital Management	Institutional Investor	5.7 million shares
Morgan Stanley	Institutional Investor	4.8 million shares

Composition of Revenues (by product, US vs. Int'l) & Margins Analysis

The company's product assortment spans four primary categories: Consumables, Seasonal, Home products, and Apparel. Consumables compose 82.2% of Revenue, Seasonal products make up 10%, Home Products make up 5.1%, and Apparel makes up 2.7% of revenue.



Reliance on the consumables segment has remained constant over the last three fiscal years. Seasonal and home merchandise typically deliver the company's highest gross margins, while consumables carry the lowest, showing a failure of Dollar General in diversifying their merchandise and the margin pressure associated with a heavier consumables skew.

As of February 28, 2025, Dollar General operated 20,662 retail stores, including those located in 48 U.S. states, and eight stores in Mexico. Operations in Mexico are not consequential in revenue analysis.
(Dollar General 10K.)

Store Analysis				
	2024	2023	2022	2021
Stores at Start of Period	19,986	19,104	18,130	17,177
Stores at End of Period	20,594	19,986	19,104	18,130
Net New Stores for Period	608	882	974	953

Source: Dollar General 10K

Over the course of a 3-year period, the volume of Stores Opened declined sharply by 26.5% (from 987 to 725), while the number of Stores Closed simultaneously increased by 11.4% (from 105 to 117). This combined effect resulted in the Net Store Increase plummeting by 31.1% (from 882 to 608).

The slowdown in new store volume makes the company's continued struggle to grow net sales per store even more critical. Ongoing concerns about inconsistent same-store sales remain highly relevant, as this is a key performance indicator in the retail industry. The data suggests that Dollar General may be facing internal or external pressures that are forcing it to pull back on its aggressive expansion strategy. This trend indicates that revenue growth may not be strong enough to support continued expansion, or that the rising number of store closures shows newer stores are not being integrated effectively or are underperforming.

Margin Analysis					
	2024	2023	2022	2021	2020
Net sales (thousands)	\$40.612	\$ 38,692	\$ 37,845	\$ 34,220	\$ 33,747
Cost of goods sold as a % of net sales	70.41%	69.71%	68.77%	68.40%	68.24%
<i>Change in margin from prev. year</i>	<i>0.7%</i>	<i>0.94%</i>	<i>0.37%</i>	<i>0.16%</i>	<i>-1.17%</i>
Gross profit as a % of net sales	29.59%	30.29%	31.23%	31.60%	31.76%
<i>Change in margin from prev. year</i>	<i>-0.7%</i>	<i>-0.94%</i>	<i>-0.37%</i>	<i>-0.16%</i>	<i>1.17%</i>
Selling, general and administrative expenses % of net sales	25.37%	23.97%	22.44%	22.19%	21.23%
<i>Change in margin from prev. year</i>	<i>1.4%</i>	<i>1.53%</i>	<i>0.25%</i>	<i>0.96%</i>	<i>-1.06%</i>
Operating profit as a % of net sales	4.22%	6.32%	8.79%	9.41%	10.53%
<i>Change in margin from prev. year</i>	<i>-2.1%</i>	<i>-2.47%</i>	<i>-0.62%</i>	<i>-1.12%</i>	<i>2.23%</i>
Interest expense as a % of net sales	0.68%	0.84%	0.56%	0.46%	0.45%
<i>Change in margin from prev. year</i>	<i>-0.16%</i>	<i>0.28%</i>	<i>0.10%</i>	<i>0.01%</i>	<i>0.09%</i>

Margin Analysis					
Income before income taxes as a % of net sales	3.55%	5.48%	8.24%	8.95%	10.09%
<i>Change in margin from prev. year</i>	<i>1.93%</i>	<i>-2.76%</i>	<i>-0.71%</i>	<i>-1.14%</i>	<i>2.16%</i>
Income tax expense as a % of net sales	0.77%	1.18%	1.85%	1.94%	2.22%
<i>Change in margin from prev. year</i>	<i>-0.41%</i>	<i>-0.67%</i>	<i>-0.09%</i>	<i>-0.28%</i>	<i>0.46%</i>
Net income as a % of net sales	2.77%	4.29%	6.38%	7.01%	7.87%
<i>Change in margin from prev. year</i>	<i>-1.52%</i>	<i>-2.09%</i>	<i>-0.63%</i>	<i>-0.86%</i>	<i>1.70%</i>

Source: Dollar General 10K

In 2024, gross profit increased by 2.5%, and as a percentage of net sales decreased by 70 basis points to 29.6% compared to 2023, primarily driven by increased markdowns, a greater proportion of sales coming from the consumables category and increased inventory damages.

Margins Analysis:

The trend in Interest Expense, net, has been highly volatile over the past three years. The most significant movement occurred in 2023, when interest expense surged by \$115.5 million to reach \$326.8 million compared to 2022. This dramatic increase was primarily attributable to higher average borrowings and a general rise in market interest rates.

In 2024, this trend reversed, with Interest Expense, net, decreasing by \$52.5 million to \$274.3 million. This decline was driven by the company's initiatives to reduce its debt burden through the repayment of long-term debt and the benefit of higher average cash balances. This volatility is of particular significance as market interest rates directly impact new store opening costs, occupancy costs, and the investment returns of new store openings, many of which are leased.

The effective income tax rate has generally remained stable between 2022 and 2024, hovering around the 22% mark, though with some notable annual shifts. The rate was lowest in 2023 at 21.6%, representing a 0.9 percentage point decrease from 2022. This decline was an effect of certain rate-impacting items, such as federal tax credits, on lower earnings before taxes, alongside the increased recognition of state tax credits, which resulted in a lower state effective rate.

In 2024, the effective rate saw a marginal increase of 0.2 percentage points, rising to 21.8%. This slight rise was mainly due to a higher state effective tax rate and a decreased benefit from stock-based compensation, partially offset by the leverage gained from applying certain rate-impacting items to a smaller earnings before taxes base.

Negative impacts on Interest Expense in 2023, due to higher market rates and borrowings, and the potentially related factors impacting other cost lines (such as cost of goods sold and SG&A), collectively contributed to a sharp decline in net income margins during that period. The lower income tax rate in 2023 provided a partial, though insufficient, offset to these mounting expenses.

DuPont ROE Analysis

	2024	2023	2022	2021	2020
Net Income	1,125,253	1,661,274	2,415,989	2,399,232	2,655,050
Revenue	40,612,308	38,691,609	37,844,863	34,220,449	33,746,839
Net Profit Margin	2.77%	4.29%	6.38%	7.01%	7.87%
Revenue	40,612,308	38,691,609	37,844,863	34,220,449	33,746,839
Average Total Assets	30,795,591	29,939,479	27,705,369	26,094,997.50	24,343,854
Asset Turnover	1.32x	1.29x	1.37x	1.31x	1.39x
Average Total Assets	30,795,591	29,939,479	27,705,369	26,094,998	24,343,854
Average Shareholders' Equity	6,749,119	6,145,445.50	5,901,879	6,461,612	6,681,869
Equity Multiplier	4.56x	4.87x	4.69x	4.04x	3.64x
Net Profit Margin	2.77%	4.29%	6.38%	7.01%	7.87%
Asset Turnover	1.32x	1.29x	1.37x	1.31x	1.39x
Equity Multiplier	4.56x	4.87x	4.69x	4.04x	3.64x
Return on Equity	16.67%	27.03%	40.94%	37.13%	39.74%

Net Profit Margin: The chart shows how Net Profit Margin continued to decrease, decreasing from 4.29% in 2023 to a low of 2.77% in 2024. This suggests significant pressure from rising costs (Cost of Goods Sold, SG&A) and/or an inability to raise prices or manage expenses proportional to revenue.

Asset Turnover (ATO): ATO decreased slightly from 1.29x to 1.32x. While the change is marginal, it is still below the 2022 high of 1.37x. This suggests that the substantial increase in average total assets (from \$29.9 billion to \$30.8 billion) did not generate a proportional increase in revenue, indicating ongoing inefficiencies in asset utilization—a concern often linked to rising inventories or unsuccessful asset-heavy initiatives.

Equity Multiplier (EM): The EM, which represents leverage, decreased from 4.87x to 4.56x in 2024.

This signals a slight reduction in the use of debt financing relative to equity, or that the increase in retained earnings was enough to increase shareholders' equity proportionally more than assets. While a decrease in leverage can signal reduced risk, it actively works against ROE when the other two metrics are declining.

Leverage / Capital Structure

Dollar General's capital structure is defined by a relatively high reliance on debt financing, which is consistent with its stable, cash-generative business model. With total equity of \$7.41 billion and total debt of \$17.06 billion, the company operates at a debt-to-equity ratio of roughly 2.3x, signaling a highly leveraged balance sheet. Its Debt-to-Total-Capital Ratio is around 0.70 and this means about 70% of DG's capital comes from debt, again highlighting a highly leveraged structure. This level of leverage increases financial risk but also reflects confidence in stable operating cash flows driven by its large store footprint and everyday-essential merchandise mix.

A significant portion of this debt-like burden comes from long-term lease commitments. Out of \$23.72 billion in total liabilities, \$9.76 billion (about 57% of total debt) stems from long-term operating lease liabilities, an inherent part of Dollar General's model, which depends on thousands of leased small-format stores. Since these leases create fixed, recurring obligations, they function as leverage in substance, even if they are not technically classified as traditional interest-bearing debt. In fact, its Long-Term Debt-to-Equity ratio is around 0.77, meaning DG's traditional long-term debt is under 1x equity. While the company is leveraged overall, much of the "debt" is from lease obligations rather than conventional borrowings.

Dollar General's long-term obligations of \$5.72 billion (about 34% of total debt) include its core borrowings and other long-duration commitments. Additional components, such as \$1.1 billion in deferred tax liabilities, are non-cash obligations that affect future earnings but do not place an immediate strain on liquidity.

Dollar General's long-term debt is structured with staggered maturities that help limit refinancing pressure in any single year. Based on recent filings, DG's long-term debt has steadily declined from \$7.0 billion in 2023 to \$6.23 billion in 2024 and is projected further downward to \$5.72 billion in 2025, reflecting scheduled amortization and the absence of large new issuances. This trend suggests that a meaningful portion of the company's senior notes is maturing in the 2024–2026 window, which DG has been repaying rather than refinancing. After this near-term reduction, the remaining maturities extend

over a long horizon, primarily stretching from 2027 through 2052, which aligns with DG's outstanding senior note issuances. These later maturities are spaced across multiple tranches, allowing DG to avoid major refinancing clusters and maintain liquidity flexibility. In effect, DG's maturity schedule front-loads a moderate level of repayments through 2025, followed by long-dated obligations that are well distributed across future decades.

As of January 31, 2025, Dollar General maintained a \$2.375 billion unsecured five-year revolving credit facility maturing in September 2029, which includes a \$100 million letter-of-credit sublimit and a \$50 million swingline sublimit for short-term liquidity needs. Borrowings accrue interest at Adjusted Term SOFR + 1.015% or a base rate + 0.015%, with an additional 0.11% facility fee on committed amounts, all of which vary based on DG's long-term credit ratings. Both S&P and Moody's revised DG's outlook from Stable to Negative in 2024, reflecting the company's rising leverage and softer operating trends.

Dollar General also operates a \$2.0 billion commercial paper program, fully backstopped by the Revolving Facility. Because CP issuances reduce revolver availability, the company maintains a liquidity buffer to preserve capacity. As of fiscal year-end, DG had no outstanding revolver borrowings or CP balances, resulting in full liquidity of \$2.375 billion, or \$2.18 billion when adjusting for liquidity reserves to support the CP program. The company also had \$50.9 million in letters of credit issued under separate agreements, but overall maintains substantial borrowing capacity and near-term financial flexibility.

Dollar General's interest rate exposure is limited because most of its long-term obligations are fixed-rate senior notes. The company uses \$350 million of interest rate swaps that convert part of its 2030 Senior Notes into SOFR-based variable exposure, but as of January 31, 2025, DG had no borrowings on its revolver or commercial paper program, eliminating the primary sources of variable-rate risk. As a result, a 1% change in interest rates would affect pre-tax earnings by only ~\$3.5 million, a significant reduction from prior years. This improvement reflects higher cash balances and a materially lower level of variable-rate debt, indicating tighter interest-rate risk management despite the company's elevated leverage.

Dollar General's effective interest rate has steadily declined over the past decade, from ~4.0% in 2013 to a low of ~1.1–1.2% in 2021–2022, before rising to ~1.8% in 2024 as higher base rates flowed through to its floating-rate exposures. Despite several senior notes carrying coupons between 3.5% and 5.5%, DG's blended cost of debt remains well below peers like Dollar Tree and Walmart (typically 2.5–3.5%+) because the company relies heavily on long-dated fixed-rate notes, maintains minimal revolver and CP borrowings, and has increased cash balances, which reduced net interest expense to \$274.3 million in

2024. The 10-K notes that interest expense fell largely due to debt repayment and lower outstanding borrowings, while DG's only floating-rate exposure is now primarily its cash and equivalents, as most variable-rate debt was paid down.

This low-cost funding structure keeps DG's WACC at ~4%, below its ROIC of ~6.41%, meaning the company continues to generate a positive spread and create economic value even during margin pressure. However, with ratings revised to a Negative outlook, future debt issuances could come at materially higher rates, making the current low effective interest rate a competitive advantage that may not persist if leverage rises further.

Dollar General's balance sheet shows elevated leverage, with Debt/EBITDA at 7.45×, well above typical retail ranges of 2–3×. This reflects the combination of ~\$6.2B in long-term debt and compressed EBITDA driven by weaker operating performance in 2024. Despite this, the firm maintains strong short-term solvency: interest coverage remains solid at ~7.5×, supported by lower net interest expense and higher cash balances. This indicates that DG can comfortably service interest obligations even as leverage remains elevated. However, the disconnect between high leverage and moderate cash flow strength contributed to the recent Negative outlook from ratings agencies, and a sustained improvement in EBITDA will be necessary to restore balance sheet flexibility and reduce long-term solvency risk.

Working Capital Analysis

Dollar General is still focused on stabilizing the business. Its short-term liquidity remains solid, with the Current Ratio expected to stay close to the prior 1.22 level. This keeps DG in line with peers such as Dollar Tree and Five Below. The Quick Ratio remains very low at 0.17, which shows that DG still relies heavily on selling inventory quickly to meet short-term obligations.

A major priority for 2025 is seeing the full impact of the inventory changes made after CEO Todd Vasos returned. The adjustments made in late 2023 and 2024, such as limiting the use of self-checkout, converting some stations back to staffed registers, and removing about 1,000 high-shrink items, were specifically designed to improve store operations and inventory efficiency.

Inventory levels began to stabilize in 2024 after the significant buildup in 2023. This is an early sign that the company's strategy is working. In 2025, DG is expected to improve its Inventory Turnover rate and move closer to peers like Dollar Tree, which operates at about 4.5 times. Improving turnover is important because it helps offset the weak Quick Ratio and lowers the risk related to short-term obligations. It also

shows that DG is finally working through excess non-consumable inventory, which previously caused a 94 basis point decline in the gross profit rate.

Better control over inventory and lower shrink levels have also helped strengthen cash flow. The large working capital drain caused by past inventory growth, including the 1.7 billion dollar decline reported in 2022, is now mostly behind the company.

Looking ahead to 2025, DG is positioned to maintain healthier cash flow. By avoiding the inventory spikes seen in prior years and reducing losses related to shrink, the company can free up cash that was previously tied up in excess stock. This added flexibility will support investments in the core business, including the “Back to Basics” stocking program, which should improve both short-term liquidity and long-term profitability.

Valuation: Relative & Absolute

To determine an absolute valuation for Dollar General, we constructed a discounted cash flow valuation, yielding an implied share price of \$212.25. After researching Dollar General’s historical and future operational plans, our assumptions were based on historical growth, macroeconomic factors, and company- or industry-specific news, resulting in our estimations of future growth rates. Following that, we calculated unlevered free cash flows for each projected year from 2026 to 2030, discounting them to present value using the weighted average cost of capital, which we also calculated using the cost of equity and the cost of debt. Then, to calculate the terminal value, we used the Gordon Growth Method, considering Dollar General’s stable cash flows and potential to operate infinitely with modest growth. Given the long-term expected GDP growth of 1.8% to 2.0%, slow retail industry growth, and Dollar General’s status as a mature company, we used a perpetuity growth rate of 2.0% for this calculation. To reach the implied enterprise value, we summed up the terminal value with unlevered cash flows. We then found the equity value by subtracting debt from and adding Dollar General’s most recent cash balance to the enterprise value. Our implied share price, found by dividing the equity value by diluted shares outstanding, was \$212.25, meaning the company’s stock is trading at a discount, as the closing price on November 28, 2025, was \$109.49. Therefore, we reached the conclusion that Dollar General is undervalued.

In terms of relative valuation, we used trading and transaction comparables analyses and found that Dollar General is undervalued. We began by determining the financial metrics that would be useful in the calculation of Dollar General’s multiples. We found market capitalization by multiplying the current share

price by shares outstanding, as well as the terminal enterprise value (TEV) by adding debt to and subtracting cash from equity value. Using these numbers, we calculated the Price-to-Sales (P/S), EV/EBITDA, Price-to-Earnings (P/E), and FCF (P/FCF) multiples based on the company's last twelve months (LTM) financials. To understand whether Dollar General is undervalued, fairly valued, or overvalued, we also compared these multiples with those of two other comparable companies in the discount retailer industry, Walmart and Dollar Tree.

In our trading comparables analysis, we found Dollar General's P/E multiple for the LTM to be 20.9x and the TEV/EBITDA multiple for the LTM to be 10.3x. We calculated multiples for the retailer's key competitors as well. Walmart and Dollar Tree had LTM P/E multiples of 38.9x and -6.9x, respectively, and LTM TEV/EBITDA multiples were 21.1x and 10.7x for the two businesses, respectively. Considering Dollar General's lower P/E multiple and TEV/EBITDA multiple, these metrics indicate that Dollar General is undervalued in comparison to its industry peers.

Our transaction comparables analysis also revealed that Dollar General is undervalued relative to its industry. For this method, we reviewed Dollar General's acquisition of Family Dollar, Walmart's acquisition of Vizio, and Amazon's acquisition of Whole Foods Markets. The metrics we analyzed included the offer price, enterprise value, LTM sales, LTM EBITDA, LTM FCF, and LTM earnings. The LTM EBITDA of Walmart's acquisition of Vizio was -0.07x, and the LTM EBITDA of Amazon's acquisition of Whole Foods Markets was 10.08x. Meanwhile, the LTM EBITDA of Dollar General's acquisition of Family Dollar was 0.51x. Since Dollar General has a lower multiple than Amazon and a positive multiple, unlike Walmart, we concluded that it is undervalued.

Why is Dollar General Trading at a Discount?

Dollar General is trading at a discount, as the implied share price that we calculated is around 48% lower than the current market price per share. From a financial metrics perspective, the implied share price is impacted primarily by the subjective assumptions we made when constructing the discounted cash flow model. Our assumptions for the perpetual growth rate and revenue growth may have caused our share price to be higher than the market price. We used a relatively neutral perpetuity growth rate of 2.0%, which is in line with long-term expected GDP growth and is consistent with Dollar General's steady cash flows and mature growth.

Additionally, our revenue projections and growth rate assumptions were based on historical averages, as Dollar General is not currently making drastic operational changes to differentiate itself within the industry and accelerate growth. Instead, it has been reaching the mature stage, retaining positive net sales and earnings growth, which we believe will continue in the future. Therefore, given the mature nature of Dollar General's business, and as there are no substantial and foreseeable regulatory, macroeconomic, or firm-specific forces that may impact its revenue stream, our assumptions were based on the averages of the past few years.

From the market's perspective, the current trading price is based on consumer sentiment, market conditions, and the real-time buying or selling activity of investors. The market appears to be more pessimistic about the assumptions than we were, which can be attributed to the market's tendency to overreact to company and economic news. This past August, Dollar General stock experienced a steady decline, which can be attributed to investors' reaction to Trump's tariffs that month, including 50% tariffs on Brazilian goods, 50% tariffs on Indian goods, and 20% tariffs on Vietnamese goods (Clarke, 2025). Consequently, Dollar General increased some of its prices to retain profits, which the markets perceived as lowering demand and ultimately revenue. However, investors failed to consider the retailer's simultaneous initiatives to improve its operations, including the reduction of the number of self-checkouts to reduce inventory shrink, as well as the opening of 204 new stores and the remodeling of hundreds of existing locations. Dollar General actually experienced the opposite of what investors expected—a 1.5% increase in customer traffic and same-store sales forecasted to increase between 2.1% and 2.6% (James, 2025).

Other investors may misinterpret Dollar General's product offerings, assuming it only sells low-margin essential consumables. While this is a large part of its product mix, the company also earns notable revenue from pOpshelf, a retail concept operating under Dollar General, specializing in selling higher-priced on-trend party supplies, arts and crafts materials, and health and beauty products (pOpshelf, 2021).

Overall, our valuation assumptions combined with the investors' pessimistic outlook and lack of research caused a disconnect between Dollar General's current market valuation and its long-term growth potential. Informed investors should expect a clear upside for the stock moving forward.

Risks and Counterpoints

Dollar General has had its strong runs in the past and is still doing well overall, but could face a cyclical risk in the final quarter of its fiscal year. In its latest earnings, management warned that there would be “increasing pressure on consumer spending as we move through the back half of the year, with Q4 potentially more impacted than Q3” (McColl, 2025). The Fed has also cautioned a trend of lower consumer spending, especially among middle- and lower-class households, which is Dollar General’s target market. In the case of a rise in unemployment, stagnant wages, or persistent inflation, consumer basket sizes could shrink and reduce profitability. This risk is mitigated as Dollar General is mostly known for its discount on essential goods, unparalleled by any rival in its industry. This indicates that in the event of a recession, consumers are more likely to trade down to a more affordable store like Dollar General rather than stop buying essentials entirely. In other words, Dollar General is recession-resistant as macroeconomic factors will not have a great impact on profits.

Another important consideration for Dollar General is its inventory shrink risk, as previously mentioned. Shrink occurs when inventory is lost due to theft, damage, administrative errors, or spoilage, causing a discrepancy between the recorded inventory balance and the actual inventory on-hand. Over the past few years, Dollar General has experienced inventory shrink, decreasing its profitability and consumer satisfaction over time. To mitigate this concern, the company has driven an initiative to remove self-checkout kiosks from most of its stores (Silberstein, 2024), reducing the risk of potential theft as every customer will scan their products with the assistance of an employee. Additionally, the retailer is aiming to decrease the amount of on-shelf inventory at a time, minimizing the risk of spoilage, damage, or theft. With the elimination of this wastage, Dollar General will increase its opportunity to generate revenue from selling inventory.

Lastly, Dollar General faces operational risk as a result of the voluntary recall of its instant coffee brand, Clover Valley® (FDA, 2025). In August of 2025, Dollar General announced that the instant coffee was potentially exposed to glass contamination. This is problematic for the retailer as it not only digs into revenue, but it also damages the reputation and consumer trust of Dollar General. To mitigate this risk, the company has been establishing supplier vetting, enhancing quality controls, and publicly displaying its commitment to safety standards. It also has numerous other products under its private-label portfolio that are strong revenue sources, meaning margin recovery and growth will not be significantly impacted.

Why is Dollar General not Worth its Current Price?

Dollar General is worth more than its current market price due to three primary factors. Investors are underestimating the revenue potential of pOpshelf, Dollar General's margin resilience, and the retailer's national-scale store remodeling.

The aforementioned pOpshelf branch of Dollar General has the most potential to draw in sales in the coming years. The pOpshelf format allows the retailer to break into a new line of high-margin discretionary products, diversifying its previous low-margin, essential products focus. These new products yield higher profitability and promise of long-term growth, but can be overlooked by investors as pOpshelf is still in the rollout phase. The market must factor in these new products when valuing the company instead of assuming that Dollar General will only offer low-margin products years into the future. With time, once pOpshelf enters higher growth and matures, its profitability will materialize in Dollar General's financials.

Dollar General has proven to be recession-resistant, particularly during the COVID-19 pandemic, when it not only survived the crisis but thrived. While other retailers' profitability suffered as consumers became more conservative with their discretionary income, Dollar General experienced a large 27.6% increase in its 2020 Q1 sales (Unglesbee, 2020). Opting to shop at affordable stores such as Dollar General during turbulent economic times makes the retailer recession-resistant. This differentiator is useful moving forward, as current investor and consumer sentiment is increasingly pessimistic due to this year's tariff pressures and heightened unemployment. Investors should consider Dollar General's pricing power in the current macroeconomic landscape, which would drive up the company's value.

Finally, the retailer has adopted "Project Elevate," comprising initiatives to remodel numerous locations, with a focus on its most mature stores, to make advancements and create value for its consumers. The plan includes full remodeling of 2,000 stores and the opening of 575 new stores across the country (Silberstein, 2024). There will be physical asset updates, optimization of strategic product placement (planograms), and general store expansion. The most impactful initiative of this plan is the creation of DG Delivery, Dollar General's same-day delivery service, currently used for around 75 stores, integrated into the store's mobile app (Silberstein, 2024). The company already partnered with DoorDash for delivery, but this new feature allows customers to have their goods delivered to their doorstep as soon as an hour after order placement. It also enables customers to use their digital coupons and loyalty perks, which the DoorDash service lacks. We predict that "Project Elevate" and DG Delivery will make shopping at Dollar

General more convenient and enjoyable for consumers, ultimately positioning the retailer for long-term profitability and growth.

Appendix 1: Historical Data

Dollar General Income Statement											
(USD in thousands, except per share data)											
	1/30/15	1/29/16	2/3/17	2/2/18	2/1/19	1/31/20	1/29/21	1/28/22	2/3/23	2/2/24	1/3/25
Net sales	\$18,909,588	\$20,368,562	\$21,986,598	\$23,470,967	\$25,625,043	\$27,753,973	\$33,746,839	\$34,220,449	\$37,844,863	\$38,691,609	\$40,612,308
Cost of sales	12,845,289	13,793,524	14,914,024	15,943,567	17,476,924	18,983,815	22,983,195	22,933,195	25,478,434	26,488,434	27,880,434
* Gross profit	\$6,064,299	\$6,575,028	\$7,072,575	\$7,527,400	\$8,148,134	\$8,871,158	\$11,156,842	\$11,297,254	\$12,366,440	\$12,350,668	\$12,731,874
Clean SGA&A	3,952,853	4,282,303	4,629,195	5,115,351	5,577,694	6,064,050	7,027,840	7,435,263	8,313,461	9,055,575	10,046,037
EBITDA	\$2,111,446	\$2,292,725	\$2,443,380	\$2,412,040	\$2,570,440	\$2,807,108	\$4,129,002	\$3,861,991	\$4,053,179	\$3,295,093	\$2,685,777
Depreciation & Amortization	342,353	352,431	379,931	404,231	454,134	504,804	574,237	641,316	724,877	848,793	971,703
* Income from operations (EBIT)	\$1,769,093	\$1,940,294	\$2,063,449	\$2,007,818	\$2,116,306	\$2,302,304	\$3,554,765	\$3,220,675	\$3,328,302	\$2,446,300	\$1,714,074
Interest expense	(88,232)	(86,944)	(97,821)	(97,036)	(99,871)	(100,574)	(150,385)	(157,526)	(211,273)	(326,181)	(274,320)
Other (income) expense, net	0	(326)	(502)	(502)	(1,019)	0	0	0	0	0	0
* Income before income taxes (EBT)	\$1,680,861	\$1,853,024	\$1,965,628	\$1,907,280	\$2,015,416	\$2,201,730	\$3,404,380	\$3,063,149	\$3,117,444	\$2,119,519	\$1,439,754
Income Tax Expense	615,516	687,944	714,495	368,320	425,944	489,175	749,330	730,625	458,245	458,245	314,501
* Net income	\$1,065,345	\$1,165,080	\$1,251,133	\$1,538,960	\$1,589,472	\$1,712,555	\$2,655,050	\$2,399,232	\$2,416,819	\$1,661,274	\$1,125,253
* Earnings per common share:											
Basic	\$3.50	\$3.96	\$4.45	\$5.64	\$5.99	\$6.68	\$10.70	\$10.24	\$10.73	\$7.57	\$5.12
Diluted	\$3.49	\$3.95	\$4.43	\$5.63	\$5.97	\$6.64	\$10.62	\$10.17	\$10.68	\$7.55	\$5.11
* Shares used in per share calculations:											
Basic	304,633	294,330	281,317	272,751	265,155	256,555	248,171	234,261	225,148	219,415	219,877
Diluted	305,681	295,211	282,261	273,362	266,105	258,053	250,076	235,812	226,297	219,938	220,027

Dollar General Balance Sheet											
(USD in thousands, except per share data)											
	1/30/15	1/29/16	2/3/17	2/2/18	2/1/19	1/31/20	1/29/21	1/28/22	2/3/23	2/2/24	1/31/25
Assets:											
Cash and Cash Equivalents	\$579,823	\$157,947	\$187,915	\$267,441	\$235,487	\$240,320	\$1,376,577	\$344,829	\$381,576	\$537,283	\$932,576
Merchandise inventories	2,782,521	3,074,153	3,258,785	3,609,025	4,097,004	4,676,848	5,247,477	5,614,325	6,760,733	6,994,266	6,711,242
Income taxes receivable	0	6,843	11,050	108,265	57,804	76,537	90,760	97,394	135,775	112,262	127,132
Prepaid expenses and other current assets	170,265	193,467	220,021	263,121	272,725	184,163	199,405	247,295	302,925	366,913	392,975
* Total current assets	\$3,532,609	\$3,432,410	\$3,677,771	\$4,247,852	\$4,663,020	\$5,177,868	\$6,914,219	\$6,303,843	\$7,581,009	\$8,010,724	\$8,163,925
Net property and equipment	2,116,075	2,264,062	2,434,456	2,701,282	2,970,806	3,277,359	3,899,997	4,346,127	5,236,309	6,087,722	6,209,481
Operating lease assets	0	0	0	0	0	8,796,183	9,473,330	10,092,930	10,670,014	11,098,228	11,163,763
Goodwill	4,338,589	4,338,589	4,338,589	4,338,589	4,338,589	4,338,589	4,338,589	4,338,589	4,338,589	4,338,589	4,338,589
Other intangible assets, net	1,201,870	1,200,994	1,200,659	1,200,428	1,200,217	1,200,006	1,199,870	1,199,750	1,199,700	1,199,700	1,199,700
Other assets, net	19,499	21,830	20,823	28,760	31,406	34,079	36,619	46,132	57,746	60,628	57,275
* Total assets	\$11,208,642	\$11,257,885	\$11,672,298	\$12,516,911	\$13,204,038	\$22,825,084	\$25,862,624	\$26,327,371	\$29,083,367	\$30,795,591	\$31,132,733
Liabilities and Shareholders' Equity:											
Current portion of long-term obligations	\$101,158	\$1,379	\$500,950	\$401,345	\$1,950	\$0	\$0	\$0	\$0	\$768,645	\$519,463
Current portion of operating lease liabilities	0	0	0	0	0	964,805	1,074,079	1,183,559	1,288,399	1,387,083	1,460,114
Accounts payable	1,388,154	1,494,225	1,557,596	2,009,771	2,385,469	3,610,682	3,614,089	3,738,604	3,552,991	3,587,374	3,833,133
Accrued expenses and other	413,760	467,122	500,866	549,658	618,405	709,156	1,006,552	1,049,139	1,036,919	971,890	1,045,856
Income taxes payable	59,400	32,870	63,393	4,104	10,033	8,362	16,063	8,055	8,919	10,709	10,136
* Total current liabilities	\$1,962,472	\$1,995,596	\$2,622,805	\$2,964,878	\$3,015,857	\$4,543,005	\$5,710,783	\$5,979,357	\$5,887,768	\$6,725,701	\$6,868,702
Long-term obligations	2,623,965	2,969,175	2,710,576	2,604,613	2,862,740	2,911,993	4,130,975	4,172,068	7,009,399	6,231,539	5,719,025
Long-term operating lease liabilities	0	0	0	0	0	7,819,683	8,385,388	8,890,709	9,362,761	9,703,499	9,764,783
Deferred income taxes	626,858	639,955	652,841	515,702	609,687	675,227	710,549	825,254	1,060,906	1,133,784	1,103,701
Other liabilities	285,309	275,283	279,782	305,944	298,361	172,676	263,691	197,997	220,761	251,949	262,815
* Total liabilities	\$5,498,604	\$5,880,009	\$6,266,004	\$6,391,137	\$6,786,645	\$16,122,584	\$19,201,386	\$20,065,385	\$23,541,595	\$24,046,472	\$23,719,026
Shareholders' equity:											
Common stock	\$265,514	\$250,855	\$240,811	\$235,141	\$227,072	\$220,444	\$210,687	\$201,265	\$191,718	\$192,206	\$192,447
Additional paid-in capital	3,048,806	3,107,283	3,154,606	3,196,462	3,252,421	3,322,531	3,446,612	3,587,914	3,693,871	3,757,005	3,812,590
Retained earnings	2,403,045	2,025,545	2,015,867	2,698,352	2,941,107	3,162,660	3,006,102	2,473,999	1,656,140	2,799,415	3,405,683
Accumulated other comprehensive income (loss)	(7,327)	(5,807)	(4,990)	(4,181)	(3,207)	(3,135)	(2,163)	(1,192)	43	493	2,987
* Total stockholders' equity	\$5,710,038	\$5,377,876	\$5,406,294	\$6,125,774	\$6,417,393	\$6,702,500	\$6,661,238	\$6,261,986	\$5,541,772	\$6,749,119	\$7,413,707
* Total liabilities and stockholders' equity	\$11,208,642	\$11,257,885	\$11,672,298	\$12,516,911	\$13,204,038	\$22,825,084	\$25,862,624	\$26,327,371	\$29,083,367	\$30,795,591	\$31,132,733
Check	0	0	0	0	0	0	0	0	0	0	0

Appendix 2: Discounted Cash Flow

Dollar General DCF Model

(USD in thousands, except share data)

Dollar General DCF Model

(USD in thousands, except share data)

			1	2	3	4	5
	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Sales	38,691,609	40,612,308	43,021,011	45,572,574	48,275,469	51,138,671	54,171,690
EBITDA	3,295,093	2,685,777	3,705,470	3,925,241	4,158,045	4,404,658	4,665,897
D&A	848,793	971,703	932,375	987,673	1,046,252	1,108,305	1,174,038
EBIT	2,446,300	1,714,074	2,773,096	2,937,567	3,111,793	3,296,353	3,491,859
Unlevered taxes	458,245	314,501	537,341	569,211	602,971	638,733	676,616
Changes in working capital (CF)	(204,720)	634,275	(356,641)	(377,794)	(400,200)	(423,936)	(449,080)
Capex	1,700,222	1,309,888	1,684,024	1,783,903	1,889,706	2,001,784	2,120,509
Add back: D&A	848,793	971,703	932,375	987,673	1,046,252	1,108,305	1,174,038
Undiscounted annual FCF	931,906	1,695,663	1,127,463	1,194,333	1,265,168	1,340,205	1,419,692
Terminal value							56,970,517
Total undiscounted FCF			1,127,463	1,194,333	1,265,168	1,340,205	58,390,209
Discount factor			0.957	0.915	0.875	0.837	0.801
Discounted Free Cash Flow			1,078,481	1,092,812	1,107,333	1,122,047	46,761,649

Forecast drivers	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Revenue growth	10.6%	2.2%	5.0%	5.9%	5.9%	5.9%	5.9%	5.9%
EBITDA margin	10.7%	8.5%	6.6%	8.6%	8.6%	8.6%	8.6%	8.6%
Capex as a % of revenue	4.1%	4.4%	3.2%	3.9%	3.9%	3.9%	3.9%	3.9%
D&A as a % of revenue	1.9%	2.2%	2.4%	2.2%	2.2%	2.2%	2.2%	2.2%
Taxes / EBIT	21.1%	18.7%	18.3%	19.4%	19.4%	19.4%	19.4%	19.4%
Changes in working capital	(3.5%)	(0.5%)	1.6%	(0.8%)	(0.8%)	(0.8%)	(0.8%)	(0.8%)

Implied share price

Enterprise value	51,162,321
Debt	5,745,102
Cash	1,284,567
NCI	--
Associate Investments	--
Equity value	46,701,786
NOSH	220,027
Implied share price	\$212.25
Current price	\$109.49
(Discount) / premium	(48.42%)

Sensitivity analysis

WACC Calculation	WACC						Terminal Growth	
	\$212.25	1.00%	1.50%	2.00%	2.50%	3.00%		
Cost of equity	5.54%	\$113.75	\$127.92	\$146.08	\$170.21	\$203.84		
Risk-free rate	3.60%	5.04%	\$130.62	\$149.13	\$173.72	\$208.00	\$259.06	
Adjusted beta	0.29	4.54%	\$152.25	\$177.32	\$212.25	\$264.30	\$350.10	
EMRP	3.77%	4.04%	\$181.00	\$216.61	\$269.66	\$357.12	\$528.53	
Cost of equity	4.69%	3.54%	\$221.08	\$275.16	\$364.32	\$539.06	\$1,036.32	
WACC	EBITDA margin						Revenue Growth	
	\$212.25	1.00%	1.50%	2.00%	2.50%	3.00%		
Cost of debt		9.61%	\$205.32	\$238.11	\$283.79	\$351.84	\$464.04	
Pre-tax cost of debt	4.40%	9.11%	\$178.79	\$207.71	\$248.02	\$308.07	\$407.07	
Tax rate	21.00%	8.61%	\$152.25	\$177.32	\$212.25	\$264.30	\$350.10	
Post-tax cost of debt	3.47%	8.11%	\$125.71	\$146.93	\$176.49	\$220.53	\$293.13	
WACC	4.54%	7.61%	\$99.18	\$116.53	\$140.72	\$176.75	\$236.16	

Appendix 3: Comparables

DG Trading Comparables						
(in thousands)						
Ticker Company	DG Dollar General		WMT Walmart		DLTR Dollar Tree	
Sales (P/S)	Metric	Multiple	Metric	Multiple	Metric	Multiple
LTM	\$41,651,642	0.5x	\$693,153,000	1.2x	\$18,551,100	1.1x
Annualized Stub	42,327,432	0.5x	686,022,000	1.2x	18,420,200	1.1x
EBITDA (TEV/EBITDA)						
LTM	\$2,571,772	10.3x	\$42,478,000	21.1x	\$2,077,800	10.7x
Annualized Stub	3,134,290	8.5x	42,554,000	21.0x	1,856,400	11.9x
Earnings (P/E)						
LTM	\$1,059,406	20.9x	\$21,929,000	38.9x	(\$2,930,800)	(6.9x)
Annualized Stub	1,475,014	15.0x	23,580,000	36.2x	1,063,600	18.9x
Capex						
LTM	\$1,311,653		\$24,685,000		\$1,470,900	
Annualized Stub	1,391,366		22,818,000		1,328,600	
FCF (P/FCF)						
LTM	\$1,260,119	17.5x	\$17,793,000	48.0x	\$606,900	33.1x
Annualized Stub	1,742,924	12.7x	19,736,000	43.3x	527,800	38.1x
Note: Prices as of market close 11/20/25. FCF = EBITDA - Capex.						
Source: SEC Filings and Yahoo! Finance						

DG Transaction Comparables

1) Walmart's (WMT) Acquisition of Vizio (VZIO)

(\$ in millions, except per share data)

Cash Offer	\$11.50	
Stock Offer	0.00	
Total Offer	\$11.50	
Shs Out	200.0	
Options	FALSE	
FD Shares Out	200.0	
FD Equity Value	\$2,300.0	
Debt	14.5	
Cash	221.6	
Net Debt	(\$207.1)	
Preferreds/Converts	0.0	
Minority Interest	0.0	
TEV	\$2,092.9	
LTM Sales	\$1,680	1.37x
Operating Income	\$25	
Other operating income, net	0	
Depreciation & Amortization	5	
LTM EBITDA	\$30	70.47x
LTM Capex	3	
LTM FCF	\$27	86.14x
LTM Earnings	\$28	81.56x

Note: FCF defined as EBITDA less Capex.

2) Amazon's (AMZN) acquisition of Whole Foods Market (WFM)

(\$ in millions, except per share data)

Cash Offer	\$42.00	
Stock Offer	0.00	
Total Offer	\$42.00	
Shs Out	318.3	
Options	FALSE	
FD Shares Out	318.3	
FD Equity Value	\$13,368.6	
Debt	1,048.0	
Cash	351.0	
Net Debt	\$697.0	
Preferreds/Converts	0.0	
Minority Interest	0.0	
TEV	\$14,065.6	
LTM Sales	\$15,724	0.85x
Operating Income	\$857	
Other operating income, net	(41)	
Depreciation & Amortization	498	
LTM EBITDA	\$1,396	10.08x
LTM Capex	(718)	
LTM FCF	\$678	19.72x
LTM Earnings	\$507	26.37x

Note: FCF defined as EBITDA less Capex.

3) Dollar Tree (DLTR) acquisition of Family Dollar (FDO)

(\$ in thousands, except per share data)

Cash Offer	\$59.60	
Stock Offer	14.90	
Total Offer	\$74.50	
Shs Out	114.0	
Options	FALSE	
FD Shares Out	114.0	
FD Equity Value	\$8,492.0	
Debt	484,226.0	
Cash	139,840.0	
Net Debt	\$344,386.0	
Preferreds/Converts	0.0	
Minority Interest	0.0	
TEV	\$352,878.0	
LTM Sales	\$10,489,330	0.00x
Operating Income	\$421,452	
Other operating income, net	0	
Depreciation & Amortization	265,461	
LTM EBITDA	\$686,913	0.51x
LTM Capex	1,688,213	
LTM FCF	(\$1,001,300)	(0.01x)
LTM Earnings	\$284,503	0.03x

Note: FCF defined as EBITDA less Capex.

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